

7.2

Fixed

Assets

In the previous section, we took a look at Operating and Non-operating Assets. In this section, we will learn about how fixed assets of the company are being utilised. Are they productive or unproductive? We will understand them in greater detail.

Fixed Assets



Productive Assets



Unproductive Assets

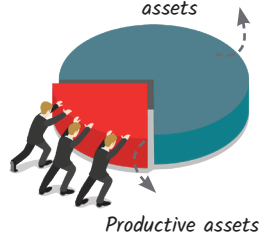


Unproductive assets



If the major chunk of a company's assets is unproductive, then we can say that the company is not making efficient use of its assets and spending on unnecessary things.

If significant chunk is in productive assets, we can say that the company is using its assets for things that are important to the company.



However, we must know how to categorize the assets of a particular company into productive and unproductive assets. We must properly categorize the total assets into productive and unproductive categories. Things important to the company must be classified as productive assets.

Fixed Assets						
Productive Fixed Assets	687	718	734	842	1057	1200
Unproductive Fixed Assets	69	71	68	72	85	85
Productive Assets (% of total fixed)	91%	91%	92%	92%	93%	93%
Unproductive Assets (% of total fixed)	9%	9%	8%	8%	7%	7%